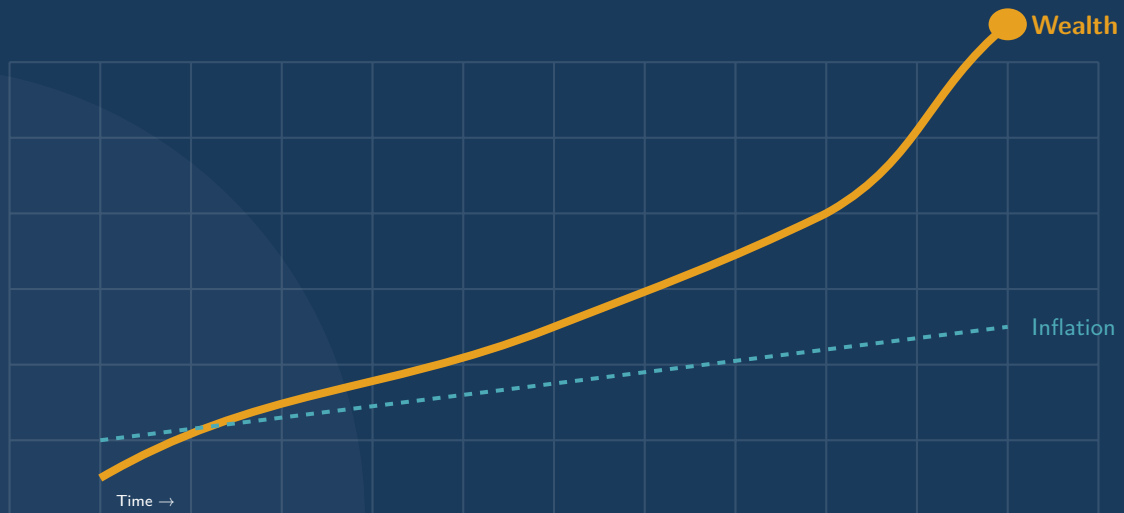


MUTUAL FUNDS

A Visual Beginner's Guide

From Zero to Informed Investor — Indian Market Edition



Covers: Fund Types · Risk Metrics · Portfolio Building · SIP Strategy · Tax (Updated: Budget 2024)

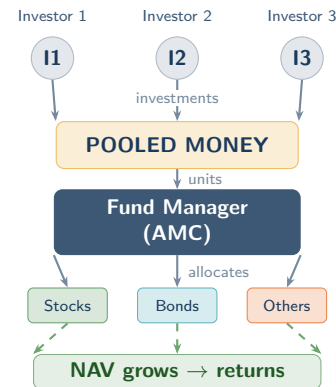
☆ Your Learning Journey



1 What is a Mutual Fund & Why Invest?

The Core Idea

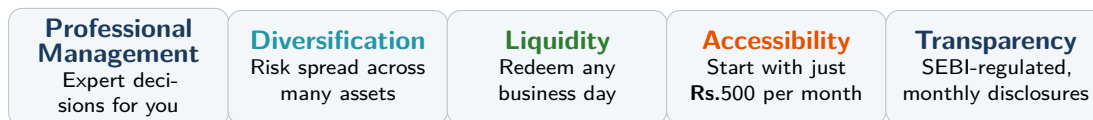
A **mutual fund** pools money from many investors and a professional **fund manager** invests it in a diversified basket of stocks, bonds, or other assets on your behalf. You own **units** of the fund; the fund's value per unit is called the **NAV** (Net Asset Value).



The problem with alternatives:

- **FDs / Government schemes** — often beaten by inflation after tax
- **Direct stock picking** — emotional, time-consuming, high skill needed
- **Insurance products** — your money still goes to markets; they keep the alpha

Why mutual funds work for most investors:



The Compounding Magic

Rs.5,000/month at 12% CAGR over 30 years = Rs.1.75 crore. The same amount in an FD at 6% gives roughly **Rs.50 lakh**. Time is your most powerful asset — start early and stay invested.

2 Types of Mutual Funds

The Big Three by Asset Class

EQUITY FUNDS

Invest in company stocks
Min 65% in equities (SEBI)

- ✓ High long-term returns
- ✓ Beats inflation comfortably
- ✗ High short-term volatility
- ✗ Needs 5+ year horizon

RISK: HIGH

DEBT FUNDS

Invest in bonds & fixed-income instruments

- ✓ Stable returns (6–9%)
- ✓ Good for short/medium goals
- ✗ Lower returns than equity
- ✗ Credit & interest-rate risk

RISK: MEDIUM

HYBRID FUNDS

Mix of equity + debt
Balanced risk-return

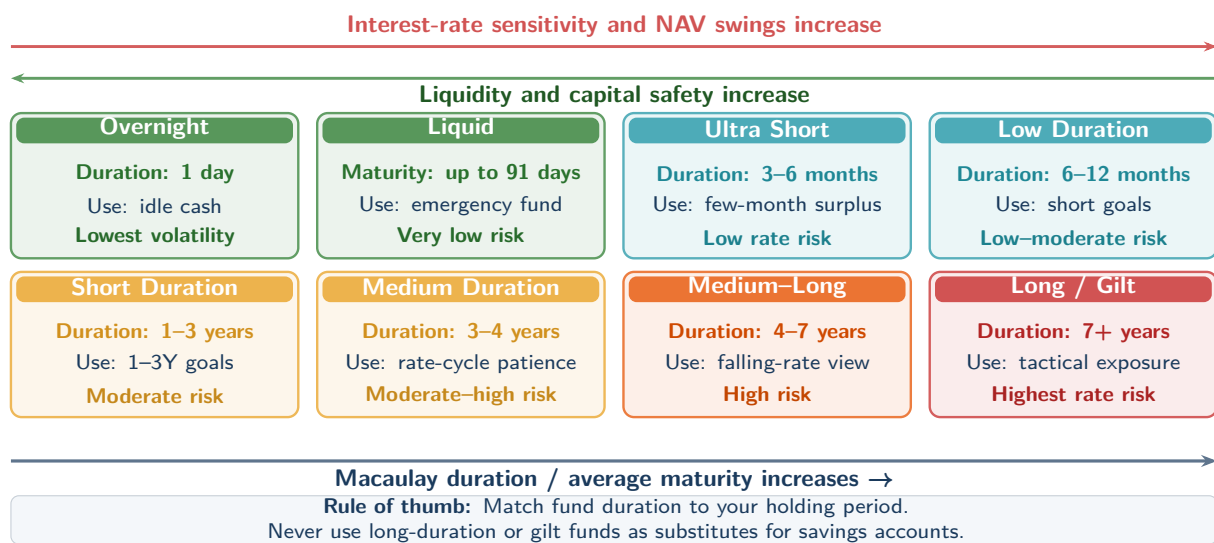
- ✓ Built-in diversification
- ✓ Suits moderate risk tolerance
- ✗ Manager-dependent balance
- ✗ Higher expense than pure funds

RISK: LOW-MED

Equity Fund Sub-Categories (SEBI 2017 Classification)

Fund Category	Who It Invests In	Ideal Horizon	Risk
Large Cap	Top 100 companies by market cap (min 80%)	5–7 years	Moderate
Mid Cap	Rank 101–250 companies (min 65%)	7–10 years	High
Small Cap	Rank 251+ companies (min 65%)	10+ years	Very High
Flexi Cap	Any market cap, dynamically (min 65% equity)	7+ years	High
Large & Mid Cap	Min 35% large + min 35% mid	7+ years	High
Multi Cap	Min 25% each: large, mid, small	7+ years	High
ELSS	Min 80% equity + 3-yr lock-in + 80C tax benefit	3+ years	High
Index Fund	Tracks Nifty/Sensex passively	5+ years	Moderate
Sectoral/Thematic	Single sector (IT, pharma, etc.) min 80%	7+ years	Very High

Debt Fund Sub-Categories (by Duration)



Active vs Passive — The Key Decision

Active Funds

Fund manager picks stocks/bonds trying to beat the market.

- Higher expense ratio (0.8–2.5%)
- ✓ Can outperform in mid/small-cap space
- ✗ Most large-cap active funds fail to beat Nifty 50
- Skill of manager matters enormously

Passive Funds (Index / ETF)

Tracks an index mechanically. No human discretion.

- Very low expense ratio (0.05–0.30%)
- ✓ Zero closet-indexing risk
- ✓ Beats most large-cap active funds long-term
- Best when: investing in the large-cap space

★ Golden Rule on Active vs Passive

Large Cap? → Index fund almost always wins after fees. **Mid/Small Cap?** → Good active managers can add real alpha. Worth the higher expense ratio.

Direct vs Regular (Indirect) Plans

Feature	DIRECT PLAN	REGULAR / INDIRECT PLAN
Route	Buy from the AMC or a direct platform. No distributor sits between you and the fund.	Buy through a bank, broker, agent, or distributor who services the investment.
Cost	Lower expense ratio because no trail commission is embedded in the fund cost.	Higher expense ratio because distributor commission is paid from the fund's expenses.
Returns	Same portfolio, but lower cost usually means higher NAV and better compounding over time.	Same portfolio, but the extra annual cost reduces return every year and compounds too.
Best For	Investors who can select/review funds themselves or use a transparent fee-only adviser.	Investors who need real ongoing advice, paperwork help, reminders, and hand-holding.
Decision Rule	Default choice for most investors: saves roughly 0.5–1.5% yearly.	Use only when advice adds value greater than the extra annual cost.

3 Key Metrics — What They Mean & How to Use Them

Understanding Returns

CAGR

Use for one-time investments. It converts total growth into one smooth yearly rate, so different funds and periods become comparable. It does *not* show the ups and downs during the journey.

Formula: $(\text{End}/\text{Start})^{1/n} - 1$

XIRR

Use for SIP, STP, SWP, or irregular deposits. It handles every cash-flow date and amount, so it is the correct return number for staggered investing.

Rule: use XIRR whenever money goes in or out repeatedly

Rolling Returns

Use to judge consistency. It checks every possible 3Y/5Y/10Y holding period instead of just one lucky start date.

Check the minimum, average, and worst-period return

Trailing Returns

Use only as a snapshot. It measures performance from one fixed past date to today, so the number can look unusually good or bad because of start-date bias.

Good for a quick view; never use alone for selection

Risk Ratios — The 6 You Must Know

Risk ratios are useful only when comparing funds in the **same category** over the **same period**. They explain whether a fund's return came with acceptable risk.

Sharpe Ratio

What: extra return earned for each unit of total volatility.

Use: higher is better when comparing similar funds.

Watch: upside and downside volatility are both counted.

Sortino Ratio

What: return earned for each unit of downside volatility.

Use: often better than Sharpe for equity funds.

Good sign: higher than peers over 3Y/5Y.

Alpha (α)

What: return above what market risk and benchmark exposure explain.

Use: checks if the active manager added real value.

Watch: look for consistent positive alpha, not one lucky year.

Beta (β)

What: sensitivity to benchmark movement.

Read: $\beta = 1$ market-like; $\beta > 1$ more swingy; $\beta < 1$ defensive.

Use: match beta with your risk appetite.

Downside Capture

What: how much of market falls the fund captured.

Example: 80% means it fell less than the index in down periods.

Good sign: downside capture below upside capture.

Information Ratio (IR)

What: consistency of beating the benchmark after tracking-error risk.

Use: active funds should justify their higher cost.

Guide: >0.5 is good; >1.0 is excellent.

Portfolio-Level Metrics

Metric	What It Tells You	Good Range
Expense Ratio	Annual fund cost as % of AUM; deducted from NAV daily	Direct equity: <0.6%
Standard Deviation	How much annual returns fluctuate around the average	Lower than category avg
Max Drawdown	Worst peak-to-trough fall in fund history	Small-cap: can be -70%
R-Squared (R^2)	% of fund movement explained by its benchmark	Active funds: <85%
Portfolio Turnover	% of portfolio that was replaced in a year	Passive: <10%
AUM	Total assets managed; scale and liquidity signal	>Rs.500 Cr preferred
Tracking Error	For index funds: std dev of (fund return – index return)	<0.05% ideal

Red Flags — Avoid Funds With These

- Expense ratio >2.5% (equity) or >1.5% (debt)
- R-squared >95% in an active fund = closet indexing
- Portfolio turnover >500% with no strong IR
- Single stock holding >10% of portfolio
- AUM <Rs.100 Cr (especially for debt funds)
- AMC with a SEBI regulatory action or front-running case
- Fund <1 year old (no meaningful track record)
- Negative Sortino ratio sustained over 3 years
- Small Cap fund with AUM >Rs.20,000 Cr (liquidity issue)
- Fund manager changed <1 year ago — wait and watch

Debt Fund-Specific Metrics

Macaulay Duration

Weighted-average time to cash flows.
Longer duration = more rate risk.

Use: match duration to your holding period

Modified Duration

NAV sensitivity to rate moves. Duration 3 $\approx$ 3% NAV swing for a 1% rate change.

Use: stress-test interest-rate risk

YTM & Yield

Expected yield if bonds are held. Compare only with same-category funds.

Use: judge return potential after costs

Average Maturity

Average bond maturity. Longer maturity usually means bigger NAV swings.

Use: avoid duration mismatch

Credit Rating Mix

AAA/Sovereign is safer. AA and below can add default or downgrade risk.

Use: spot hidden credit risk

Yield Spread

High YTM versus peers is a warning. Ask what risk is funding the yield.

Use: separate value from risk

Debt fund quick check: 1) Match duration to holding period 2) Check credit quality 3) Compare YTM after expense ratio 4) Avoid high-YTM funds that hide credit or duration risk.

How to Analyze a Debt Fund in 60 Seconds

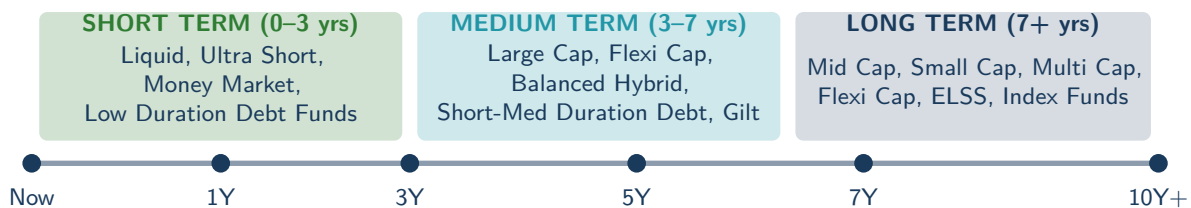
- Start with horizon:** choose duration shorter than your planned holding period.
- Check modified duration:** estimate NAV hit if rates rise suddenly.
- Inspect credit mix:** prefer Sovereign/AAA for emergency money.
- Do not chase YTM:** extra yield usually means extra credit or duration risk.
- Compare after costs:** high expense ratio eats predictable debt returns.
- Match purpose:** liquid funds for cash, short duration for 1–3Y goals.

Debt Fund Choice by Use Case

Need	Prefer	Check before investing
Emergency cash	Overnight / Liquid	Safety, low expense ratio, no credit surprises
3–12 month parking	Ultra Short / Low Duration	Modified duration, exit load, portfolio quality
1–3 year goal	Short Duration / Banking & PSU	Duration near your horizon, AAA/Sovereign-heavy mix
Tactical rate view	Gilt / Long Duration	Only if you understand rate-cycle risk and NAV volatility

4 How to Select the Right Fund

Step 1 — Define Your Goal & Time Horizon



Step 2 — Know Your Risk Profile

Conservative	Moderate	Growth	Aggressive
80% Debt + 20% Equity Liquid, Short Dur, Large Cap Can't sleep when markets fall	40% Debt + 60% Equity Balanced Hybrid, Flexi Cap OK with 20–30% drawdown	20% Debt + 80% Equity Large+Mid Cap, Index Funds Accept –40% for 2+ years	0–10% Debt + 90%+ Equity Small Cap, Sectoral Can survive –60% drops

Step 3 — The Fund Selection Checklist

FUND SELECTION CHECKLIST

- 1 Right **category** for your goal & horizon (Step 1 & 2)
- 2 **Track record**: 3Y + 5Y CAGR above category average
- 3 **Risk-adjusted returns**: Sortino >1.0, Max Drawdown manageable
- 4 **Cost**: Expense ratio below category average; always direct plan
- 5 **Portfolio quality**: Diversified, no single-stock concentration
- 6 **Fund Manager**: Tenure >3 years at fund; no SEBI red flags on AMC
- 7 **AUM**: >Rs.500 Cr (equity); >Rs.1000 Cr (debt); not too large for small-cap

Fund Manager Evaluation

The fund manager is who you're **actually hiring**. Check:

- **Tenure at this fund**: >3 years. A new manager means a different investment style.
- **Number of funds managed**: <6 is ideal. Too many funds = divided attention.
- **Background**: Finance/CFA background + 10+ years in markets preferred.
- **Investment philosophy**: Growth vs. Value vs. Momentum — must align with what you're buying.
- **Closet indexing check**: $R^2 > 90\%$ for an active fund means you are paying active fees for index returns.
- **AMC governance**: Search “AMC name + SEBI action + front-running”. Axis MF 2022, Franklin Templeton 2020 — these things do happen.

Ratings: A Starting Point, Not the Destination

CRISIL Rank 1–5 and Morningstar Stars are **backward-looking** summaries. Use them to:

- Filter out clearly underperforming funds
- Shortlist 5–8 candidates per category

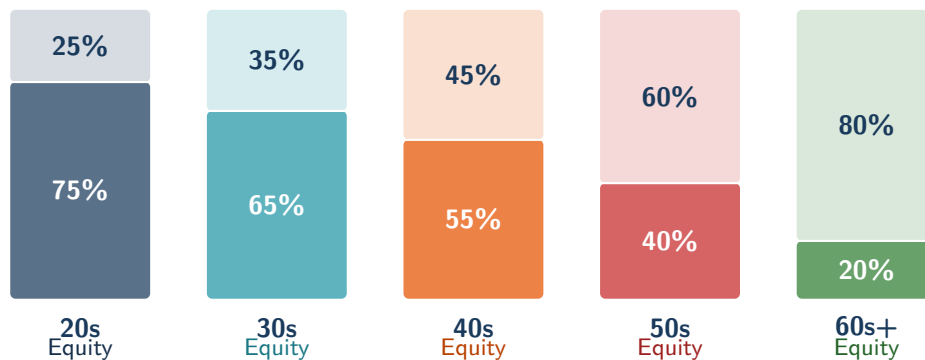
Then apply the 7-step checklist above. **Never invest based on rating alone.** Compare each fund to its category peers on a rolling-return basis, not just a trailing 1-year snapshot.

5 Building Your Portfolio

Asset Allocation by Life Stage

SUGGESTED EQUITY ALLOCATION BY AGE

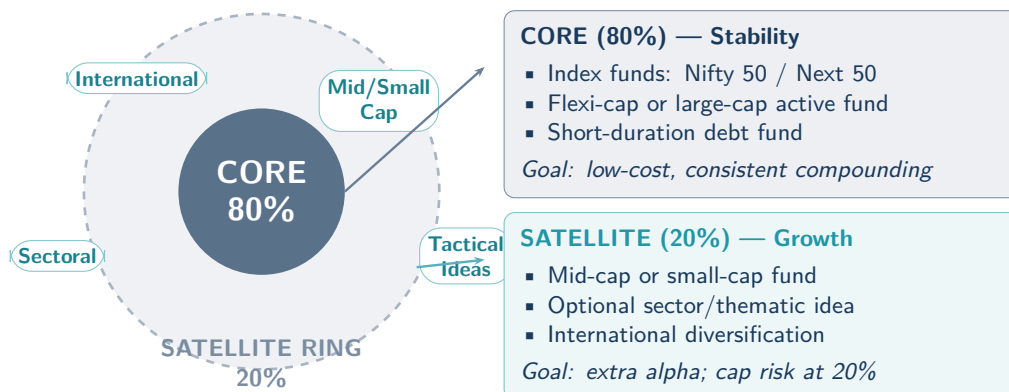
Starting point only — adjust for income stability, goals, and risk tolerance.



■ Equity ■ Debt / Hybrid

Rule of thumb: Equity % $\approx 100 - \text{Age}$. Increase only if your horizon and drawdown tolerance justify it.

Core-Satellite Portfolio Strategy



How Many Funds Is Enough?

Ideal: 3–6 funds total. More funds do not reduce risk — they add complexity.

- Too many = portfolio overlap + closet indexing + unnecessary fees
- Each fund must have a **clear, distinct purpose**
- Exit any fund that is <5% of your portfolio
- Check overlap between funds — >35% common holdings is redundant

Financial Safety Net First

Before investing, ensure:

1. **Emergency Fund:** 6–12 months of expenses (Liquid Fund)
2. **Life Insurance:** Pure term plan covering 20× annual income
3. **Health Insurance:** Rs.10–15 lakh family floater plan
4. **Clear high-interest debt:** Credit cards (>18% interest) first

Only invest surplus money you will not need in the short term.

6 How to Invest & Manage Your Portfolio

SIP vs Lump Sum — When to Use What

SIP (Systematic Investment Plan)

- ✓ Fixed amount at regular intervals (monthly is best)
- ✓ Rupee cost averaging — buy more units when markets are cheap
- ✓ Enforces discipline; removes the pressure to time the market
- ✓ Works consistently across all market conditions

Best for: Regular income earners, beginners, and long-term wealth creation.

Start with Rs.500/month — step up by 10% every year

LUMP SUM

- ✓ Invest all at once; full compounding starts immediately
- ✓ Better during clear market corrections (10–15% dips)
- ✗ Risky if the market falls significantly soon after
- ✗ Requires timing discipline; most investors get this wrong

Best for: Bonus, inheritance, or a windfall — deploy via STP.

Use STP: park in a Liquid Fund → transfer monthly to equity fund

Smart SIP — Investing with Market Awareness

OVERVALUED

Nifty PE > 28
Reduce SIP
Pause small-cap add-ons

FAIR VALUE

Nifty PE 20–28
Regular SIP
Maintain normal pace

CHEAP

Nifty PE 15–20
Increase SIP
Add a +50% boost

VERY CHEAP

Nifty PE < 15
Double SIP
Add lumpsum selectively

MARKET SIGNALS

VIX > 20 + Fear → Buy
Market Cap/GDP < 60% → Buy
Small Cap/Nifty < 0.5 → Buy

Portfolio Management — The Operating System

1. PLAN
Goals + Horizon

2. ALLOCATE
Equity / Debt / Gold

3. AUTOMATE
SIP / STP / SWP

4. REVIEW
Cost + Risk + Drift

5. REBALANCE
Tax-aware Actions

Write a 1-Page Investment Policy Statement

Before changing funds, write the rules you will follow. Include: **goal name**, target date, monthly contribution, target asset allocation, acceptable drawdown, review date, rebalancing band, exit rule, and tax plan. This turns portfolio management from emotional decision-making into a repeatable process.

Goal Buckets — Match Money to Time Horizon

Bucket	Objective	Suitable Funds	Management Rule
Emergency 0–1Y	Capital safety and instant access	Liquid, overnight, or very short-duration fund	Keep 6–12 months of expenses; do not chase return here.
Short Goal 1–3Y	Preserve money for a known expense	Liquid, short-duration debt, conservative hybrid	Avoid equity; match duration to goal date.
Medium Goal 3–5Y	Moderate growth with controlled risk	Balanced advantage, equity-savings, short debt + limited equity	Start de-risking one year before the goal.
Long Goal 5–10Y	Inflation-beating growth	Large-cap index, flexi-cap, aggressive hybrid	SIP steadily; rebalance instead of stopping in crashes.
Very Long 10Y+	Wealth creation and retirement	Index core + flexi/mid/small satellite + debt stabilizer	Let equity compound; reduce risk gradually near goal.

Safety Net Comes Before Return Optimization

Portfolio management starts outside the portfolio: clear high-interest debt, keep an emergency fund, and buy adequate term + health insurance. Otherwise a job loss, illness, or large expense can force you to sell equity funds at the worst possible time.

Portfolio Review Dashboard

Review Calendar

- **Monthly:** SIPs executed, cash needs, emergency fund level
- **Quarterly:** fund factsheets, portfolio overlap, category drift
- **Half-yearly:** performance vs benchmark and category average
- **Annually:** rebalance, tax harvesting, goal progress, step-up SIP

What to Measure

Track the portfolio, not just individual funds:

- Asset allocation drift from target
- Expense ratio and tax drag
- Rolling returns and downside capture
- Overlap between equity funds (<35% preferred)
- Debt fund credit quality and duration

Rebalancing Playbook

1. Compare
Target vs current allocation

2. Detect Drift
Trigger if asset class moves >5–10%

3. Choose Action
Use new SIP first; sell only if needed

4. Execute Slowly
Change max 20% at one time

Tax-Aware Rebalancing

Prefer rebalancing with **new contributions** first. If you must sell, check exit load, STCG/LTCG status, and whether tax-loss harvesting can offset gains. Do not churn just to look active.

Glide Path Near a Goal

As a goal approaches, gradually move money from high-risk equity to debt, liquid, or balanced funds. A 20-year retirement portfolio can tolerate volatility; a school-fee goal due next year cannot.

Clean-Up Rules — Avoid Over-Diversification**Symptoms of Too Many Funds**

- 10+ funds but same top holdings everywhere
- Several funds each below 5% of portfolio
- Similar active funds behaving like one costly index fund
- High expense ratio without strong information ratio
- Sector/thematic bets added without a clear exit rule

Consolidation Method

1. Map each fund to one goal and one role
2. Remove duplicate categories and high-overlap funds
3. Exit persistent 2Y+ underperformers after analysis
4. Keep one liquid fund and one short-duration debt anchor
5. Maintain 3–6 total funds for most households

Hold, Watch, or Sell?

Continue / Add	Watch Closely	Sell / Switch
Goal is long-term; market is volatile but thesis is intact.	Fund underperforms for 12–24 months but style explains it.	Financial goal achieved or money is needed soon.
Market is sideways; SIP buys more units at ordinary valuations.	Fund manager changes; wait for portfolio and style evidence.	Fund objective, strategy, or risk profile changes materially.
Fund remains low-cost, diversified, and category-consistent.	Expense ratio rises or portfolio turnover jumps without better returns.	Persistent 2Y+ peer/benchmark underperformance after full review.
Equity is underweight after a correction; rebalance using SIP/top-up.	Valuations are euphoric; avoid fresh lump sum and trim satellites.	Rebalancing requires reducing an overweight asset class.

STP — Systematic Transfer Plan

Have a lump sum but nervous about timing? **Park it in a liquid or short-duration debt fund, then transfer monthly into equity.** Use STP for bonuses, inheritance, or de-risking from equity into debt as a goal approaches.

SWP — Systematic Withdrawal Plan

Need regular income? **SWP withdraws a fixed amount** while the remaining corpus stays invested. Keep withdrawals below a realistic return expectation; otherwise the corpus will shrink over time.

7 Taxation on Mutual Funds (Updated: Budget 2024)

Fund Type	Holding Period	STCG Tax	LTCG Tax
Equity Funds (incl. ELSS, Index)	<1 year	20%	—
Equity Funds (incl. ELSS, Index)	≥1 year	—	12.5% on gains >Rs.1.25L/yr
Debt Funds (post Apr 2023)	Any holding	Taxed as per income tax slab (no indexation benefit)	Taxed as per income tax slab (no indexation benefit)
Equity-oriented Hybrid (≥65% equity)	<1 year	20%	—
Equity-oriented Hybrid (≥65% equity)	≥1 year	—	12.5% on gains >Rs.1.25L/yr
Debt-oriented Hybrid (<65% equity)	Any holding	Taxed as per income tax slab	Taxed as per income tax slab

Budget 2024 key changes (effective Oct 2024): STCG on equity raised from 15% → **20%**; LTCG raised from 10% → **12.5%**; LTCG exemption raised from Rs.1L → **Rs.1.25L** per year. Add 4% health & education cess to all tax computed.

Tax Harvesting (Equity)

Each year, if your LTCG is below **Rs.1.25 lakh**:

1. Sell enough units to book gains just below **Rs.1.25L**
2. Reinvest immediately in the same fund
3. Your cost basis resets higher for future gains
4. Repeat next year — reduces future tax burden!

Result: Defer and legally reduce your overall LTCG tax. Even at zero tax today, this resets your cost basis for free.

Tax Loss Harvesting

If you have a loss in one fund:

- Sell the loss-making fund
- Set off the capital loss against gains in other funds
- Losses can be carried forward **8 years**
- Reinvest in a *similar but not identical* fund to maintain market exposure without violating wash-sale logic

Especially useful for debt fund investors after the 2023 rule change.

8 Common Mistakes & Myths to Avoid

✗ Mistakes Beginners Make

1. **Chasing last year's top fund:** Top fund in year 1 rarely repeats in year 2.
2. **Too many funds:** 12 funds = an expensive index fund.
3. **Stopping SIP during a crash:** That is exactly when you should be buying more!
4. **Investing in NFOs:** No track record. Avoid unless the strategy is truly unique.
5. **Ignoring expense ratio:** 1% extra cost = 20% less corpus over 20 years.
6. **Redeeming on short-term news:** You are a long-term investor — act like one.
7. **No financial plan:** Know *why* you are investing before choosing *where*.
8. **Comparing NAV:** A **Rs.10** NAV fund is *not* cheaper than a **Rs.500** NAV fund. Returns % is all that matters.

✗ Myths Debunked

- **Myth:** Low NAV = cheaper or better returns.
Fact: NAV level is irrelevant. Returns % is what matters.
- **Myth:** Mutual funds are only for experts.
Fact: A SIP in a Nifty 50 index fund needs zero expertise.
- **Myth:** Mutual funds guarantee returns.
Fact: Equity funds can fall –50% in a crash. No guarantee.
- **Myth:** Past performance guarantees future returns.
Fact: Weak correlation only. Use it as one data point, not a promise.
- **Myth:** You need a lot of money to start.
Fact: **Rs.500/month** SIP is all it takes.
- **Myth:** Regular plans are better because the advisor knows more.
Fact: You pay 0.5–1.5% extra per year for advice that may add no value.

☆ Quick Reference — The 10 Commandments of Mutual Fund Investing

- 1 Define your goal and time horizon **before** choosing any fund
- 2 Start with index funds (Nifty 50 Direct Plan) — hard to go wrong
- 3 Always choose the Direct Plan — save 0.5–1.5% every single year
- 4 Use SIP for regular income; use STP to deploy a lump sum into equity
- 5 Never stop your SIP during a market crash — that is the best time to buy
- 6 Review your portfolio every 6 months; rebalance at least once a year
- 7 Avoid funds with high ER + low IR + high R-squared (closet indexing)
- 8 Tax-harvest every year — keep equity LTCG under **Rs.1.25** lakh annually
- 9 Emergency fund first — 6 months of expenses parked in a Liquid Fund
- 10 Time *in* the market beats *timing* the market — stay invested for 10+ years

☆ Key Terms Glossary

Alpha — Excess return above what market risk alone predicts.

AMC — Asset Management Company; the fund house.

AUM — Assets Under Management; total fund size.

Beta — Fund's volatility relative to the benchmark.

CAGR — Compound Annual Growth Rate; for lump-sum returns.

Closet Indexing — Active fund that secretly mirrors its benchmark.

Downside Capture — How much of the market's fall a fund absorbs.

Duration (Macaulay) — Weighted average time to receive cash flows in a debt fund.

ELSS — Equity Linked Saving Scheme; 3Y lock-in, 80C tax benefit.

ETF — Exchange Traded Fund; like an index fund but trades on an exchange.

Expense Ratio — Annual fund operating cost as % of AUM.

Exit Load — Fee charged for redeem-

ing before a specified period.

Flexi Cap — Fund free to invest in any market cap, dynamically.

HHI — Herfindahl-Hirschman Index; portfolio sector concentration.

Information Ratio (IR) — Alpha per unit of tracking error; manager skill metric.

LTCG — Long-Term Capital Gains (12.5% on equity gains >**Rs.1.25L/yr**).

Liquid Fund — Invests in instruments <91 days; ideal emergency fund vehicle.

Max Drawdown — Worst peak-to-trough fall in fund history.

NAV — Net Asset Value; price per unit of a mutual fund.

NFO — New Fund Offer; launch of a brand-new fund scheme.

Portfolio Turnover — % of portfolio replaced in a given year.

R-Squared — % of fund return variation explained by the benchmark.

Rolling Returns — Returns computed over all possible holding-period

windows.

Riskometer — SEBI-mandated 6-level risk label on every fund.

Sharpe Ratio — Return per unit of total (up + down) volatility.

SIP — Systematic Investment Plan; automated regular investments.

Sortino Ratio — Return per unit of *downside* risk only.

STCG — Short-Term Capital Gains (20% on equity <1 year).

STP — Systematic Transfer Plan; gradual shift from one fund to another.

SWP — Systematic Withdrawal Plan; regular income from your fund.

Tracking Error — Std dev of (fund return – index return); key for index funds.

TRI — Total Return Index; benchmark including reinvested dividends.

XIRR — Extended IRR; the correct return measure for SIP investments.

YTM — Yield to Maturity; expected return on debt fund if held to maturity.

Disclaimer: This guide is for educational purposes only and does not constitute investment advice. Past performance is not a guarantee of future returns.

Tax rules cited are based on Budget 2024 (effective October 2024). Consult a SEBI-registered investment adviser before making any investment decisions.